

Insurance Quote Brief

Prepared for UK insurance brokers · February 2026

Company name:	AI Advocate Ltd
Trading as:	AI Advocate
Website:	https://aiadvocate.co.uk
Sector:	Legal Technology — AI-powered consumer legal assistant (SaaS)
Date of brief:	3 June 2026
Prepared by:	Samuel Malick, Director / Founder
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Purpose of this brief

AI Advocate Ltd is seeking quotes for a suite of business insurance policies to support our launch and early-growth phase. This brief gives you the information you need to quote accurately, in one document, with no need for follow-up emails. We are open to combined policies or stand-alone covers — whichever the underwriter prefers.

Cover types requested (in order of priority):

1. Professional Indemnity / Errors & Omissions (highest priority)
2. Cyber liability and data protection
3. Technology Errors & Omissions (software defect cover)
4. Public liability
5. Directors & Officers (D&O) — defer if not immediately available
6. Employers' Liability — only if/when we hire staff (currently 1 founder, no employees)

1. Company overview

Legal entity:	AI Advocate Ltd (private limited company, England & Wales)
Companies House #:	[To be confirmed]
Date incorporated:	[To be confirmed]
Registered office:	[To be confirmed]
Trading address:	Home-office working — same as registered office
Directors / officers:	1 director — Samuel Malick (Founder)
Shareholders / ownership:	100% founder-owned (no external investment to date)
VAT registered:	Not currently registered (pre-threshold)

Regulated activity:

NOT a regulated legal services provider. NOT authorised by the SRA. The app provides legal information, AI-assisted document drafting and signposting — NOT reserved legal activities under the Legal Services Act 2007.

2. Business description (read carefully — important for underwriting)

AI Advocate is a UK-focused consumer legal-help SaaS app. Users (individuals, not businesses) subscribe to access an AI legal assistant called "Lex" that explains the law, drafts documents and helps with everyday legal problems such as:

- Tenancy/housing disputes (deposit return, eviction notices, Section 21/8, disrepair)
- Employment matters (unfair dismissal, redundancy, discrimination, ET1 claim drafting)
- Consumer law (Section 75 claims, faulty goods, refunds)
- Debt and credit issues (CCJs, debt collection letters)
- Family law signposting (NOT children/divorce advice — only information)
- Immigration signposting (NOT regulated advice — only information)
- Court preparation, witness statement drafting, letter generation

Critical risk-mitigation features built into every output:

- Every AI answer carries a visible disclaimer: "This is general legal information, not regulated legal advice. For complex matters consult a regulated solicitor."
- Users must accept Terms & Conditions and a separate Disclaimer before using the app.
- We offer a paid £49 "Solicitor Sanity Check" where users can have an SRA-regulated solicitor verify any AI answer.
- We do NOT provide reserved legal activities (no court representation, no contentious probate, no reserved instrument activities).
- All chat outputs are logged for audit; sensitive data is encrypted at rest using AES-GCM.
- We hold cyber-essentials baseline practices (MFA, encrypted vaults, rate-limited APIs).

Third-party LLMs used (under enterprise contracts with reasonable indemnification clauses): Anthropic Claude (primary), OpenAI GPT-5.2 (premium tier), Google Gemini (vision/OCR). All LLM calls are routed through a single licensed gateway (Emergent Universal LLM Key) which provides indirection and rate limiting.

3. Financial profile & user base

Current annual turnover:	Pre-revenue / launched February 2026 (currently in soft-launch)
Projected Year-1 turnover:	£40,000 – £120,000 (subscription + one-off purchases)
Projected Year-2 turnover:	£250,000 – £600,000 (post App Store / Play Store launch)
Revenue model:	Consumer subscriptions (£14.99/mo Plus, £34.99/mo Pro, £319.99/yr Pro annual) plus one-off purchases (£49 sanity check, £29 letter pack) plus B2B firm portal (10% commission on £49 sanity checks).
Payment processor:	Stripe (PCI-DSS compliant — no card data stored on our servers)
Currency:	GBP (primary); USD and EUR via Stripe multi-currency
Current paying users:	Soft-launch — fewer than 100 paying users as of brief date
Projected Year-1 users:	5,000 – 25,000 active users
Geographic split:	~95% UK consumers, ~5% expats/overseas UK-law users
B2B clients (law firms):	Founding Firm programme open — targeting 50 UK firms in Year 1 (10% commission split, no firm liability passed to AI Advocate Ltd)

4. Data we hold & security posture

Categories of personal data processed:

- Identification: name, email, phone (optional), date of birth (optional, for legal context)
- Special category data: users may volunteer health, immigration, religion, sexual orientation or political views in their legal questions. We do NOT solicit this but it can appear in user-generated content. We are a GDPR data controller for this. Privacy policy + ROPA published.
- Financial: Stripe Customer ID only — we never see card numbers, CVV, or bank details.
- Documents: users upload evidence (photos, PDFs, audio) stored encrypted at rest.
- AI chat transcripts: stored encrypted, used to fulfil the service and for product improvement (anonymised aggregate).

Security & compliance baseline:

- Hosting: AWS / Emergent cloud (UK + EU regions). TLS 1.3 in transit, AES-GCM at rest.
- Authentication: bcrypt password hashing, JWT sessions, Google OAuth (optional), rate-limited login.
- Database: MongoDB Atlas with backup + point-in-time restore.
- Logging & monitoring: Sentry, Supabase audit logs, supervisor process management.
- GDPR/UK-GDPR: ICO-registered (controller). Subject Access Request and right-to-erasure flows are built in to the app.
- PCI scope: SAQ A (no card data stored on our servers — Stripe-hosted checkout).
- Cyber Essentials: targeting certification in Q2 2026.
- Pen-testing: planned for Q3 2026 once user base exceeds 5,000.

5. Claims history, complaints, disputes

No prior claims. AI Advocate Ltd is a new business launched in 2026. No complaints filed with the ICO, Legal Ombudsman, ASA, Solicitors Regulation Authority, or any other body. No litigation pending or threatened against the company, its directors or its predecessor entities. No insolvency events.

The founder has no prior insurance claims, no insolvency history, no County Court Judgments, and no disqualified-director or bankruptcy events. Full disclosures available on request.

6. Cover requested — detailed breakdown

a) Professional Indemnity (Errors & Omissions)

The single most important cover. AI Advocate provides AI-generated legal information that users may rely on. While each output carries a clear disclaimer and we are NOT regulated by the SRA, we accept that a user could plausibly claim that an inaccurate output caused them loss (e.g. missed tribunal deadline, miscalculated settlement, defective letter).

Limit of indemnity:	£2,000,000 each claim and in the aggregate (quote alternatives at £1m and £5m)
Retroactive date:	Date of company incorporation
Excess sought:	£2,500 – £5,000
Defence costs:	In addition to limit (preferred) or within limit (acceptable if priced sharply)
Geographical limit:	Worldwide excluding USA & Canada (USA/Canada exposure is <1%)
Jurisdiction:	England & Wales

b) Cyber liability & data breach

Limit of indemnity:	£1,000,000 each and aggregate (quote £500k and £2m alternatives)
First-party covers required:	Incident response, forensics, breach notification, business interruption, system restoration, cyber extortion
Third-party covers required:	Privacy liability (GDPR/UK-GDPR), regulatory fines insurable where lawful, PCI fines
Excess sought:	£2,500
BI waiting period:	8–12 hours acceptable

c) Technology Errors & Omissions

Often bundled with PI for tech companies — to cover claims arising specifically from software defects (downtime, data corruption, integration failures, AI hallucinations causing third-party loss).

Limit of indemnity:	£1,000,000 (can be inner limit within PI tower)
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d) Public liability

Limit:	£2,000,000
Premises:	Home-office working only. No public-facing premises. No client visits.

e) Directors & Officers (D&O)

Defer this if not immediately available. We will likely add D&O once we raise external investment (targeted late 2026). Indicative quotes welcome.

f) Employers' Liability — NOT required currently

We are a single-founder operation with no employees. We will require EL cover the moment we hire our first PAYE employee (forecast Q3 2026). Please indicate uplift cost at that point.

7. Unusual risks & voluntary disclosures

AI-specific exposure. Insurers are still developing positions on "AI hallucination" claims. We voluntarily disclose:

- We use third-party LLMs (Anthropic, OpenAI, Google). We do not train our own models.
- We do not claim our AI is a substitute for regulated legal advice. The Terms & Conditions are explicit.
- We log every AI output with a session ID for audit purposes (helps with defence in any future claim).
- We do not publish AI outputs publicly — outputs are only shown to the user who requested them.
- We comply with the Online Safety Act 2023 user-protection requirements.
- We have no political content, gambling, adult content, pharmaceuticals, or weapons exposure.

USA exposure. Less than 1% of users access from the USA. We have NO US marketing, no US subsidiary, no US bank account, and no US payment routing. We are willing to exclude USA/Canada from cover if it materially reduces premium.

8. Available on request

- Companies House filings (incorporation documents, persons-of-significant-control statement)
- Privacy Policy & Cookie Policy (live at /privacy on aiadvocate.co.uk)
- Terms of Service (live at /terms)
- Disclaimer text shown on every AI output
- Data processing agreements with our LLM providers (Anthropic, OpenAI, Google)
- Stripe merchant account confirmation
- ICO Data Controller registration
- Personal details of director(s) for KYC
- Founder's CV / professional background
- Architecture diagram of the platform

9. Timing & next steps

Cover required from:	1 July 2026 (or earliest convenience)
Quote deadline:	14 days from receipt of this brief
Preferred annual budget:	Open — please quote tiered options if possible
Preferred broker contact method:	Email (primary); Teams/Zoom call if needed
Decision timeline:	Quotes reviewed within 7 days of receipt

Thank you for taking the time to review this. Please feel free to ask follow-up questions — we'd rather over-disclose than have a claim declined later for non-disclosure. Direct any questions to [Your name] at [Your email].

Material non-disclosure declaration. The information in this brief is accurate to the best of the director's knowledge and belief. Any material change between the date of this brief and the date of policy inception will be notified to the broker without delay, as required by the Insurance Act 2015 fair-presentation duty.



Samuel Malick — Director / Founder, AI Advocate Ltd

Date: 3 June 2026